Sector Report: Financials

Constituent Count: 23 Companies | Total Market Cap: INR 29,348,085 Cr | Nifty 100 Benchmark Coverage

AVG ROE	AVG OPM	MEDIAN D/E	MEDIAN P/E
19.0%	59.6%	4.40x	34.2x
Universe: 30.6%	Universe: 27.2%	Universe: 0.43x	Universe: 46.2x

Sector vs Full Universe Benchmarking

Metric	Sector Avg / Median	Universe Benchmark	Delta (Sector - Univ)	Positioning
Return on Equity (ROE)	19.0%	30.6%	**-11.6%**	**Unfavorable / Headwind**
Operating Profit Margin (OPM)	59.6%	27.2%	**+32.4%**	**Favorable (Outperforming)**
Median Debt-to-Equity (D/E)	4.4x	0.4x	**+4.0x**	**Unfavorable / Headwind**
Median Price-to-Earnings (P/E)	34.2x	46.2x	**-11.9x**	**Favorable (Outperforming)**
Revenue CAGR (3-Year)	19.2%	20.6%	**-1.5%**	**Unfavorable / Headwind**

Top Constituent Companies by Composite Health Score

Rank	Company Name	Ticker	Composite Score	Valuation Flag	Market Cap (Cr)
#1	**Bajaj Holdings & Investment Ltd**	BAJAJHLDNG	**67.3**	Fair Value	INR 2,191,568
#2	**HDFC Bank Ltd**	HDFCBANK	**65.2**	Fair Value	INR 808,359
#3	**ICICI Bank Ltd**	ICICIBANK	**64.4**	Fair Value	INR 1,319,222

Financials: Full Constituent Rankings

Ranked by Composite Financial Health Score (0-100). Color coding: Top third = Soft Green, Bottom third = Soft Red.

Rank	Company Name	ROE (%)	ROCE (%)	OPM (%)	D/E	Rev CAGR 3Y	Composite Score	Valuation Flag
#1	**Bajaj Holdings & Investment Ltd (BAJAJHLDNG)**	13.6%	2.8%	91.8%	0.00	55.0%	**67.3**	Fair Value
#2	**HDFC Bank Ltd (HDFCBANK)**	14.3%	N/A	N/A	6.81	30.2%	**65.2**	Fair Value
#3	**ICICI Bank Ltd (ICICIBANK)**	18.0%	N/A	N/A	6.45	21.4%	**64.4**	Fair Value
#4	**Kotak Mahindra Bank Ltd (KOTAKBANK)**	14.0%	N/A	N/A	4.00	19.7%	**58.0**	Fair Value
#5	**Canara Bank (CANBK)**	16.7%	N/A	N/A	14.87	16.3%	**55.5**	Fair Value
#6	**Life Insurance Corporation of India (LICI)**	49.4%	39.1%	3.9%	0.00	7.0%	**55.1**	Fair Value
#7	**Jio Financial Services Ltd (JIOFIN)**	1.2%	1.1%	84.0%	0.00	N/A	**54.1**	Fair Value
#8	**Indian Railway Finance Corporation Ltd (IRFC)**	13.0%	5.7%	99.5%	8.38	19.1%	**51.0**	Discount (Undervalued)
#9	**ICICI Lombard General Insurance Company Ltd (ICICIGI)**	15.7%	N/A	N/A	0.00	19.0%	**46.6**	Fair Value
#10	**Bajaj Finance Ltd (BAJFINANCE)**	18.8%	N/A	N/A	3.82	27.3%	**46.3**	Caution (Overvalued)
#11	**Shriram Finance Ltd (SHRIRAMFIN)**	15.1%	N/A	N/A	3.99	27.8%	**41.2**	Caution (Overvalued)
#12	**Axis Bank Ltd (AXISBANK)**	15.8%	N/A	N/A	8.25	20.0%	**41.1**	Fair Value
#13	**Bank of Baroda (BANKBARODA)**	15.8%	N/A	N/A	12.14	16.8%	**38.6**	Discount (Undervalued)
#14	**Punjab National Bank (PNB)**	61.3%	N/A	N/A	3.68	10.0%	**38.0**	Discount (Undervalued)
#15	**Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)**	17.5%	N/A	N/A	6.86	26.0%	**37.5**	Discount (Undervalued)
#16	**Bajaj Finserv Ltd (BAJAJFINSV)**	25.9%	11.4%	37.0%	4.79	22.1%	**36.9**	Discount (Undervalued)
#17	**Power Finance Corporation Ltd (PFC)**	26.2%	N/A	N/A	8.52	8.5%	**36.0**	Fair Value
#18	**IndusInd Bank Ltd (INDUSINDBK)**	14.3%	N/A	N/A	6.89	16.4%	**35.4**	Discount (Undervalued)
#19	**REC Ltd (RECLTD)**	20.4%	9.3%	100.8%	6.42	10.1%	**33.0**	Fair Value
#20	**SBI Life Insurance Company Ltd (SBILIFE)**	12.7%	1.1%	0.2%	0.00	17.2%	**31.0**	Caution (Overvalued)
#21	**HDFC Life Insurance Company Ltd (HDFCLIFE)**	10.7%	N/A	N/A	0.06	12.4%	**25.0**	Fair Value
#22	**ICICI Prudential Life Insurance Company Ltd (ICICIPRULI)**	7.7%	N/A	N/A	0.11	2.8%	**21.1**	Discount (Undervalued)
#23	**State Bank of India (SBIN)**	N/A	N/A	N/A	N/A	16.5%	**N/A**	Caution (Overvalued)

Financials: Key Findings & Peer Analysis

Institutional Peer Percentiles, Competitive Tiering & Sector Fundamentals Synthesis

EXECUTIVE SECTOR INSIGHT

"The Financials sector leads the universe in operating margin (avg 59.6%) and capital base, but operates with high sector-inherent financial leverage (median D/E of 4.40 vs universe 0.43)."

1. Best in Class Companies (Peer Percentile Classification = 'Best in Class')

Company Name	Ticker	Best-in-Class Metrics Count	Competitive Status
Life Insurance Corporation of India	LICI	11 Metrics	Superior Leadership
ICICI Bank Ltd	ICICIBANK	10 Metrics	Superior Leadership
Bajaj Finance Ltd	BAJFINANCE	8 Metrics	Superior Leadership
Canara Bank	CANBK	6 Metrics	Peer Benchmark Outperformer
IndusInd Bank Ltd	INDUSINDBK	6 Metrics	Peer Benchmark Outperformer
Axis Bank Ltd	AXISBANK	6 Metrics	Peer Benchmark Outperformer
Bank of Baroda	BANKBARODA	5 Metrics	Peer Benchmark Outperformer
HDFC Bank Ltd	HDFCBANK	5 Metrics	Peer Benchmark Outperformer
Kotak Mahindra Bank Ltd	KOTAKBANK	5 Metrics	Peer Benchmark Outperformer
Cholamandalam Investment & Finance Company Ltd	CHOLAFIN	4 Metrics	Peer Benchmark Outperformer
Shriram Finance Ltd	SHRIRAMFIN	4 Metrics	Peer Benchmark Outperformer
SBI Life Insurance Company Ltd	SBILIFE	4 Metrics	Peer Benchmark Outperformer
State Bank of India	SBIN	3 Metrics	Peer Benchmark Outperformer
HDFC Life Insurance Company Ltd	HDFCLIFE	2 Metrics	Peer Benchmark Outperformer
ICICI Prudential Life Insurance Company Ltd	ICICIPRULI	2 Metrics	Peer Benchmark Outperformer
Punjab National Bank	PNB	2 Metrics	Peer Benchmark Outperformer

2. Watch List Companies (Peer Percentile Classification = 'Watch List')

Company Name	Ticker	Watch-List Metrics Count	Risk Profile
Cholamandalam Investment & Finance Company Ltd	CHOLAFIN	10 Metrics	High Scrutiny Alert
ICICI Prudential Life Insurance Company Ltd	ICICIPRULI	9 Metrics	High Scrutiny Alert
IndusInd Bank Ltd	INDUSINDBK	8 Metrics	High Scrutiny Alert
Punjab National Bank	PNB	6 Metrics	Elevated Benchmark Lag
State Bank of India	SBIN	6 Metrics	Elevated Benchmark Lag
Kotak Mahindra Bank Ltd	KOTAKBANK	5 Metrics	Elevated Benchmark Lag
Life Insurance Corporation of India	LICI	5 Metrics	Elevated Benchmark Lag
SBI Life Insurance Company Ltd	SBILIFE	4 Metrics	Elevated Benchmark Lag
Bajaj Finance Ltd	BAJFINANCE	4 Metrics	Elevated Benchmark Lag
Bank of Baroda	BANKBARODA	3 Metrics	Elevated Benchmark Lag
ICICI Bank Ltd	ICICIBANK	2 Metrics	Elevated Benchmark Lag
HDFC Life Insurance Company Ltd	HDFCLIFE	2 Metrics	Elevated Benchmark Lag
Shriram Finance Ltd	SHRIRAMFIN	2 Metrics	Elevated Benchmark Lag
HDFC Bank Ltd	HDFCBANK	1 Metrics	Elevated Benchmark Lag
Canara Bank	CANBK	1 Metrics	Elevated Benchmark Lag